

Group CEO's Message

Executing with Clarity and Conviction

2025 will be remembered as a year where Savola moved decisively from intent to operating execution.



Sameh Hassan
Group CEO



Having evolved our strategic direction and operating model, the focus of the past 12 months has been on translating that clarity into operating disciplined delivery across the Group. This shift was visible in how we allocated capital, how we ran our businesses and how we strengthened the foundations required for sustainable performance.

Across manufacturing, retail and food services, we operated with sharper priorities, deeper accountability and a stronger emphasis on performance quality. This year's results reflected the value of focus, resilience and operational discipline in a complex and fast-changing environment. As a leadership team, our priority was to ensure that strategy was not only well defined but consistently executed across the organization.

The Defining Story of the Year

The defining story of 2025 was Savola's continued evolution into a more focused, strategic operating food group. Following the strategic decisions and portfolio refinements in previous years, the emphasis this year was on embedding the new model, strengthening operating performance and building momentum across our core platforms.

This translated into more disciplined capital deployment, aligned operational control and improved coordination across businesses. The Group operated with a well-defined understanding of where it competes best, where it creates the most value and how its integrated manufacturing, retail and food services platform can deliver scale advantages across the value chain in core categories and advantaged geographies.

Equally important was the strengthening of organizational capability. Leadership depth, technical expertise and work cultural alignment were reinforced to ensure the Group is not only better positioned for today's environment, but also structurally prepared for the years ahead. 2025 was therefore not a year of headline change, but one of consolidation, execution and readiness.

Financial Performance Anchored in Operating Discipline

Savola delivered a resilient and stable financial performance in 2025, underpinned by disciplined execution across the Group and a continued focus on efficiency, margin quality and cash generation. Despite ongoing macroeconomic volatility, the Group maintained stability through tighter cost control, improved operating leverage and more selective capital allocation.

For the year ended 2025, the Group generated revenues of ₪ 26.1 billion and EBITDA of ₪ 2.4 billion, excluding the impact of discontinued and divested businesses, reflecting improved performance across its core operations. Net income reached ₪ 874 million, supported by stronger operating fundamentals and disciplined financial management. Operating cash flow amounted to ₪ 1.07 billion, reinforcing the Group's capacity to fund growth, meet its obligations, and maintain a robust balance sheet.

Capital expenditure of ₪ 858.5 million was directed primarily toward strengthening core manufacturing capacity, operational resilience and critical infrastructure across food manufacturing and retail. Balance sheet management remained prudent, with leverage and liquidity maintained at appropriate levels. This financial discipline continues to be a central pillar of how we protect downside risk while retaining flexibility to invest in long-term value creation.

Operational Performance Across the Group

Savola Foods delivered a solid operational year, supported by improved execution discipline, efficiency initiatives and a sharper portfolio focus. Manufacturing operations benefited from enhanced planning, better asset utilization and continued investment in production and quality systems. These efforts strengthened reliability, reduced waste and improved service levels across key categories.

The business also progressed in reinforcing its role in food security and supply chain continuity. Local manufacturing scale, improved sourcing discipline and optimized distribution networks allowed Savola Foods to serve core markets more effectively while managing cost pressures. Execution quality improved across operations, supporting margin stability and operational resilience. Panda continued its journey of operational strengthening and competitive repositioning. The focus during the year was on improving store economics, enhancing customer experience and leveraging technology to support omnichannel growth. Operational efficiency initiatives, combined with better assortment management, digital enablement and successful new store openings, contributed to improved performance and customer engagement.

Across the wider Group, resource allocation discipline remained central. Resources were directed toward markets and platforms with clear strategic relevance, scale advantages and sustainable return potential. This

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operating discipline ensured that management attention and capital were aligned with long-term value creation priorities.

Technology and Innovation as Execution Enablers

Technology played an increasingly important role in strengthening execution quality across Savola in 2025. Rather than pursuing technology for its own sake, the focus was on deploying digital tools and data capabilities that directly support operational effectiveness, customer experience and decision-making.

In retail, Panda advanced the use of AI-enabled customer engagement, automated fulfillment, advanced CRM platforms and real-time inventory systems. These capabilities supported improved service levels, faster response to demand patterns and more efficient operations across physical and digital channels.

Within manufacturing and supply-chain operations, enhanced planning systems and data integration improved forecasting accuracy, production scheduling and execution discipline. These investments strengthened resilience and reduced operational friction across complex, multi-market networks.

At the Group level, enterprise platforms continued to be upgraded to support governance, performance management and scalability. Technology is increasingly embedded as a core enabler of Savola’s operating model, supporting efficiency, transparency and long-term competitiveness.

People and Culture as Foundations for Performance

Savola’s performance in 2025 was underpinned by continued investment in people, leadership and culture. As the organization evolves, building the right capabilities and reinforcing shared values remain essential to sustaining execution quality.

Leadership development, technical training and capability building initiatives were advanced across the Group to ensure that teams are equipped to function in an operating performance-driven environment. Particular emphasis was placed on developing middle and senior leadership capacity, strengthening succession pipelines and reinforcing accountability at all levels.

Culture activation also progressed during the year. Rather than introducing new frameworks, the focus was on embedding behaviors that support ownership, collaboration and disciplined execution. Engagement initiatives, recognition programs and leadership communication reinforced alignment with the Group’s values and performance expectations.

These efforts contributed to a more resilient, aligned organization, capable of executing strategy consistently while adapting to change.

Esg and Sustainability as Long-Term Enablers

Sustainability remains integral to Savola’s strategy and to the way we operate in. In 2025, we delivered meaningful progress across our ESG priorities, achieving measurable improvements in emissions intensity, energy efficiency, waste reduction and water optimization across our manufacturing operations. We also strengthened traceability and responsibility for sourcing key commodities, ensuring greater transparency and resilience across our value chain. At the same time, through Savola World Foundation, we expanded our societal impact by advancing social inclusion and economic empowerment.

This commitment translated into tangible results. Savola Foods delivered a 16.3% reduction in greenhouse gas emissions intensity, supported by efficiency initiatives that also generated ₪ 104 million in net cost savings, while material losses markedly declined, advancing more circular and resource-efficient operations. Our social impact efforts continued to advance through strong partnerships, enabling the redistribution of food valued at over ₪ 17 million during the Hajj season, delivering community programs to more than 16,700 beneficiaries and allocating a ₪ 5 million financing portfolio in partnership with the Social Development Bank to support SME development. Together, these achievements underscore Savola’s commitment to responsible growth, environmental stewardship and long-term societal value. These efforts reinforce our commitment to responsible growth, environmental stewardship and positive societal impact.

Looking Ahead with Confidence

As we look towards 2026, Savola enters the next phase of its journey with clarity and momentum with operating discipline at its core. The priorities ahead are centered on execution, value creation and selective growth. We will continue to deepen integration across our food platforms, enhance operational efficiency and strengthen competitiveness across manufacturing and retail.

Investment discipline will remain central. Capital will be deployed selectively toward opportunities that enhance scale, capability and long-term returns, while maintaining financial flexibility and balance sheet strength aligned with our priority geographies and categories. Technology and data will continue to be leveraged as enablers of smarter operations and better customer outcomes.

Equally, we will continue to invest in our people and culture to ensure that Savola remains agile, accountable and performance driven. The foundation built over recent years provides confidence that the Group is well positioned to deliver sustainable value in an evolving market landscape.

Acknowledgments

I would like to thank our Board of Directors for their guidance and oversight throughout the year, and our leadership teams for their commitment and execution. I am deeply appreciative of the dedication of our employees across all markets, whose professionalism and resilience continue to drive Savola forward.

I also extend my thanks to our shareholders, partners, customers and government stakeholders for their continued trust and support. With a clearer focus, a stronger foundation and a disciplined approach to execution, Savola moves forward with confidence into the next stage of its growth journey.

